June 2020

# Category review: Chips

Retail Analytics

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# Our 17 year history assures best practice in privacy, security and the ethical use of data

## Privacy

- We have built our business based on privacy by design principles for the past 17 years
- Quantium has strict protocols around the receipt and storage of personal information
- All information is de-identified using an irreversible tokenisation process with no ability to re-identify individuals.

## Security

- We are ISO27001 certified - internationally recognised for our ability to uphold best practice standards across information security
- We use 'bank grade' security to store and process our data
- Comply with 200+ security requirements from NAB, Woolworths and other data partners
- All partner data is held in separate restricted environments
- All access to partner data is limited to essential staff only
- Security environment and processes regularly audited by our data partners.

## Ethical use of data

Applies to all facets of our work, from the initiatives we take on, the information we use and how our solutions impact individuals, organisations and society.

## We all have a responsibility to use data for good

Quantium believes in using data for progress, with great care and responsibility. As such please respect the commercial in confidence nature of this document.



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# Executive summary

## 01 Customer & Category Insights

Key findings:
- Mainstream young singles/couples and older families are the largest contributors to chip sales.
- Premium customers demonstrate higher average spend per transaction.
- Most chip purchases are low-volume (1–2 packs), suggesting frequent convenience-driven purchases.
- Larger pack sizes are associated with family-oriented customer segments.

Key recommendations:
- Increase targeted promotions for high-value family segments.
- Focus on frequency-based marketing rather than basket-size expansion.
- Tailor premium product offerings to affluent customer groups.

## 02 Trial Store Analysis

Key findings:
- Trial stores 77 and 88 showed significant uplift in sales during the trial period.
- Store 86 experienced increased customer traffic but limited sales uplift.
- The trial layout appears to positively impact customer engagement and sales performance overall.

Key recommendations:
- Consider broader rollout of the new layout to stores with similar customer profiles.
- Further investigate pricing or promotional effects in Store 86.
- Continue monitoring long-term sustainability of sales uplift.



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# 01

## Category

The chips category demonstrates stable transaction growth with strong brand concentration among a few key players.

Most purchases are small-format convenience purchases, while larger pack sizes are more common among family-oriented shoppers.



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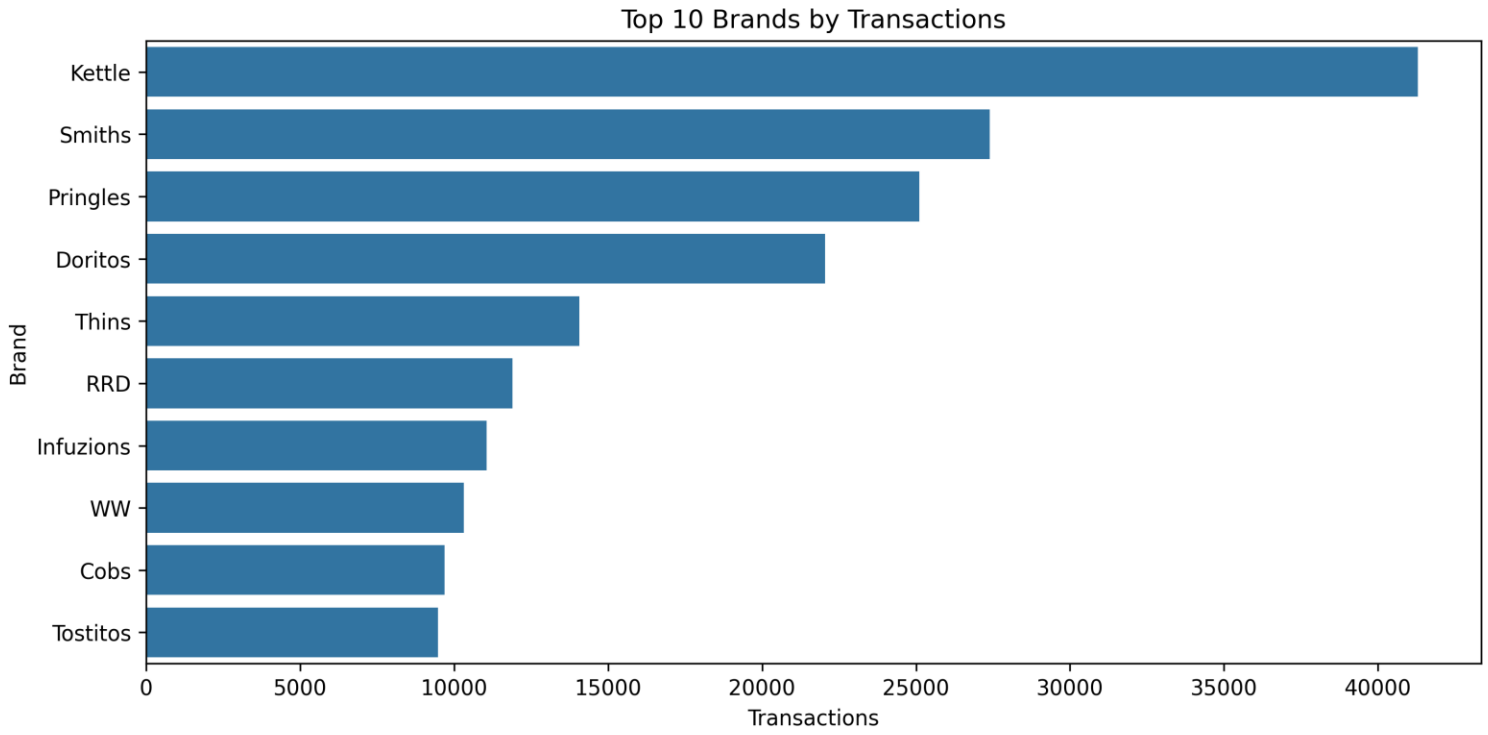
# Category Performance Overview

Brand preference is highly concentrated (**Kettle**)



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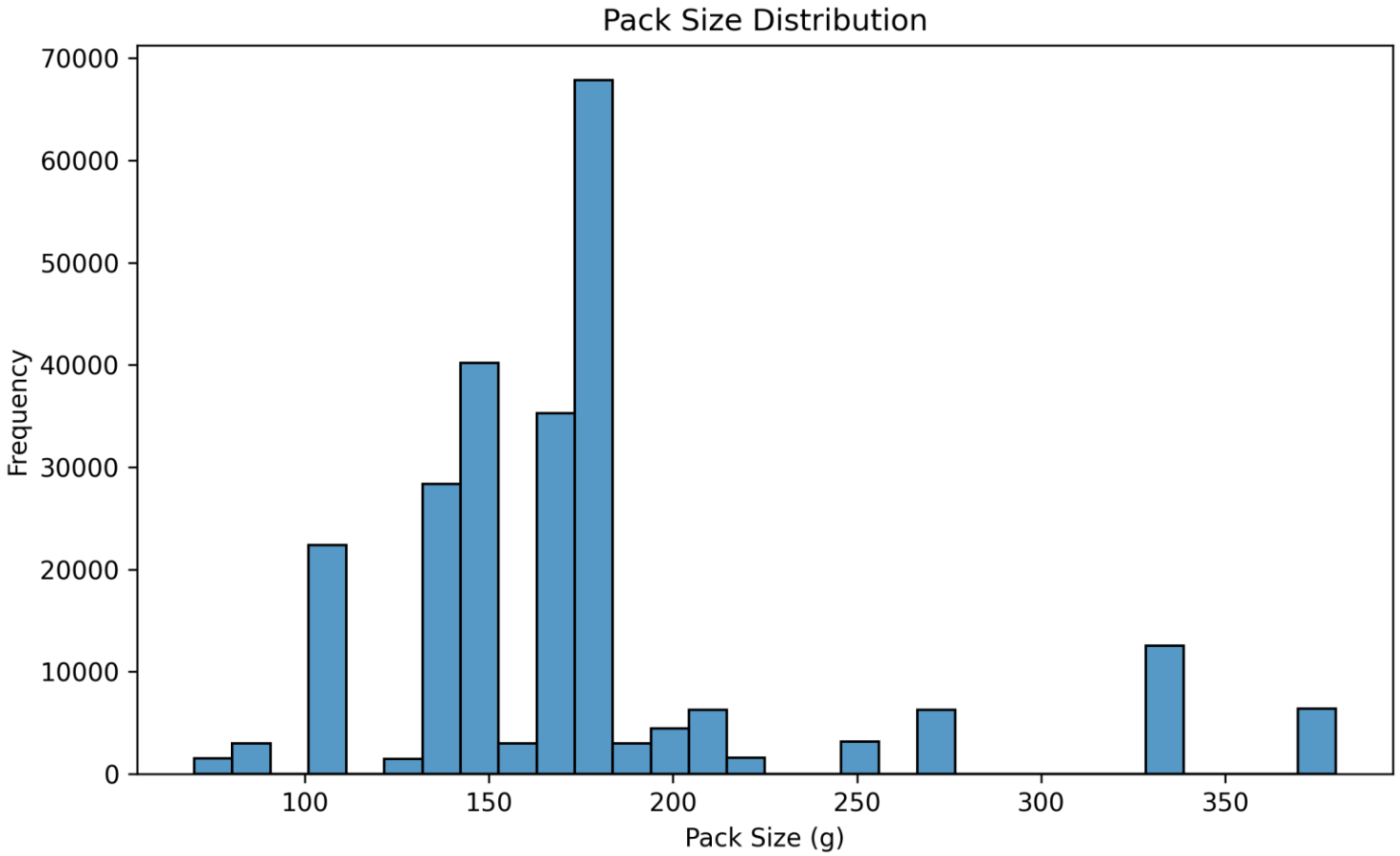
# Category Performance Overview

Most common pack sizes are **150g–175g.**



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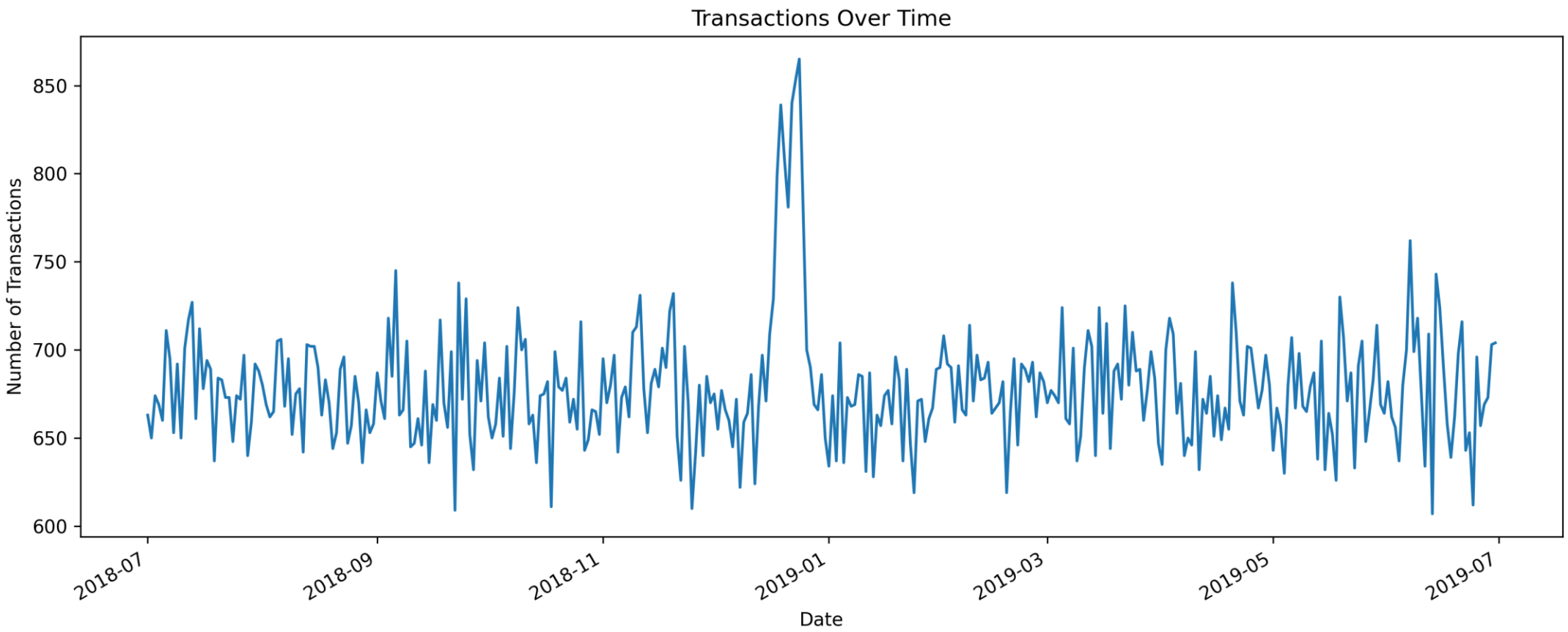
# Category Performance Overview




Transaction volume remains **stable** throughout the year.



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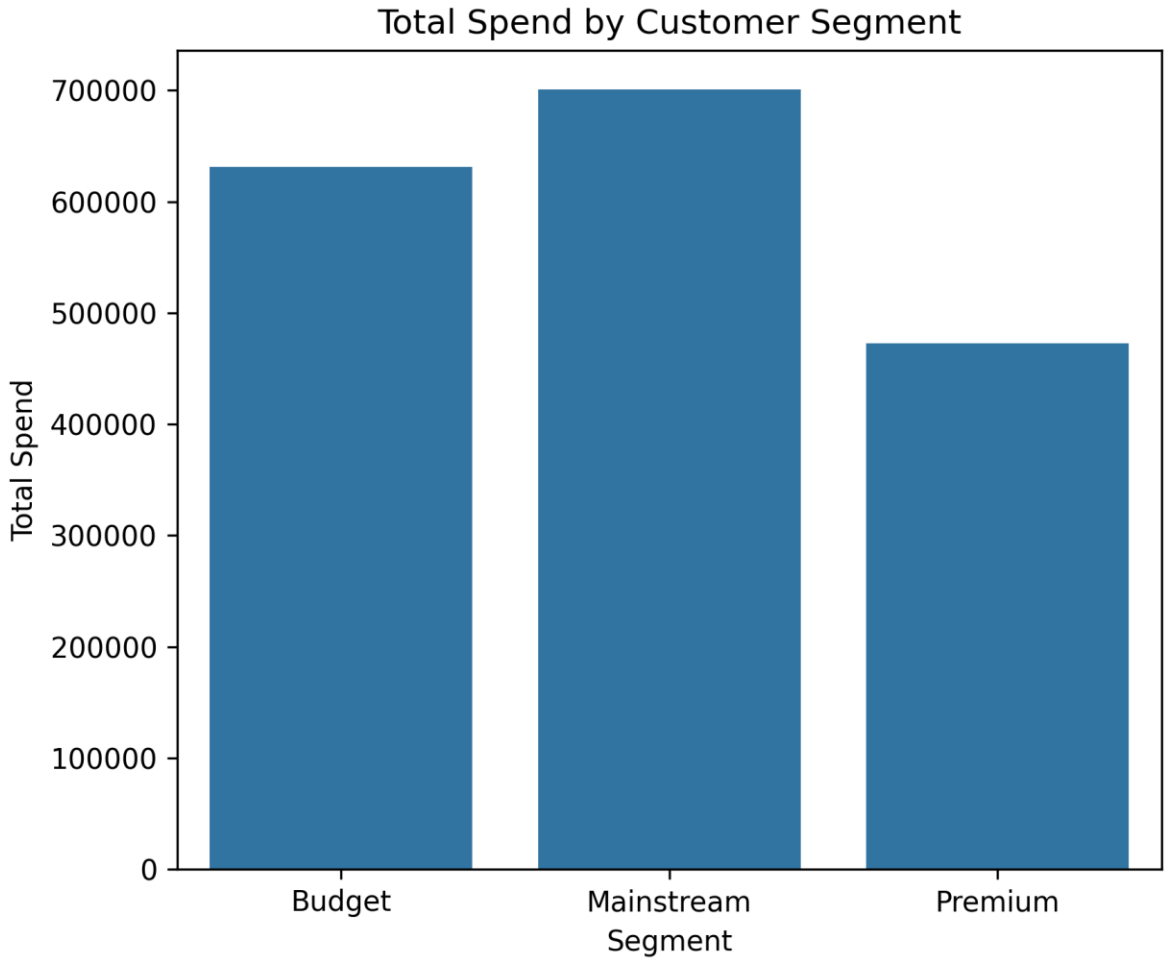
# Impact of Affluence on Purchasing Behaviour

- Premium customers spend more per transaction and demonstrate lower price sensitivity compared to mainstream and budget segments.
- Mainstream segments contribute the highest overall sales volume due to their larger customer base.
- Budget customers purchase more selectively and are more promotion-sensitive.

Pricing and promotional strategies should differ across affluence segments to maximise category growth.



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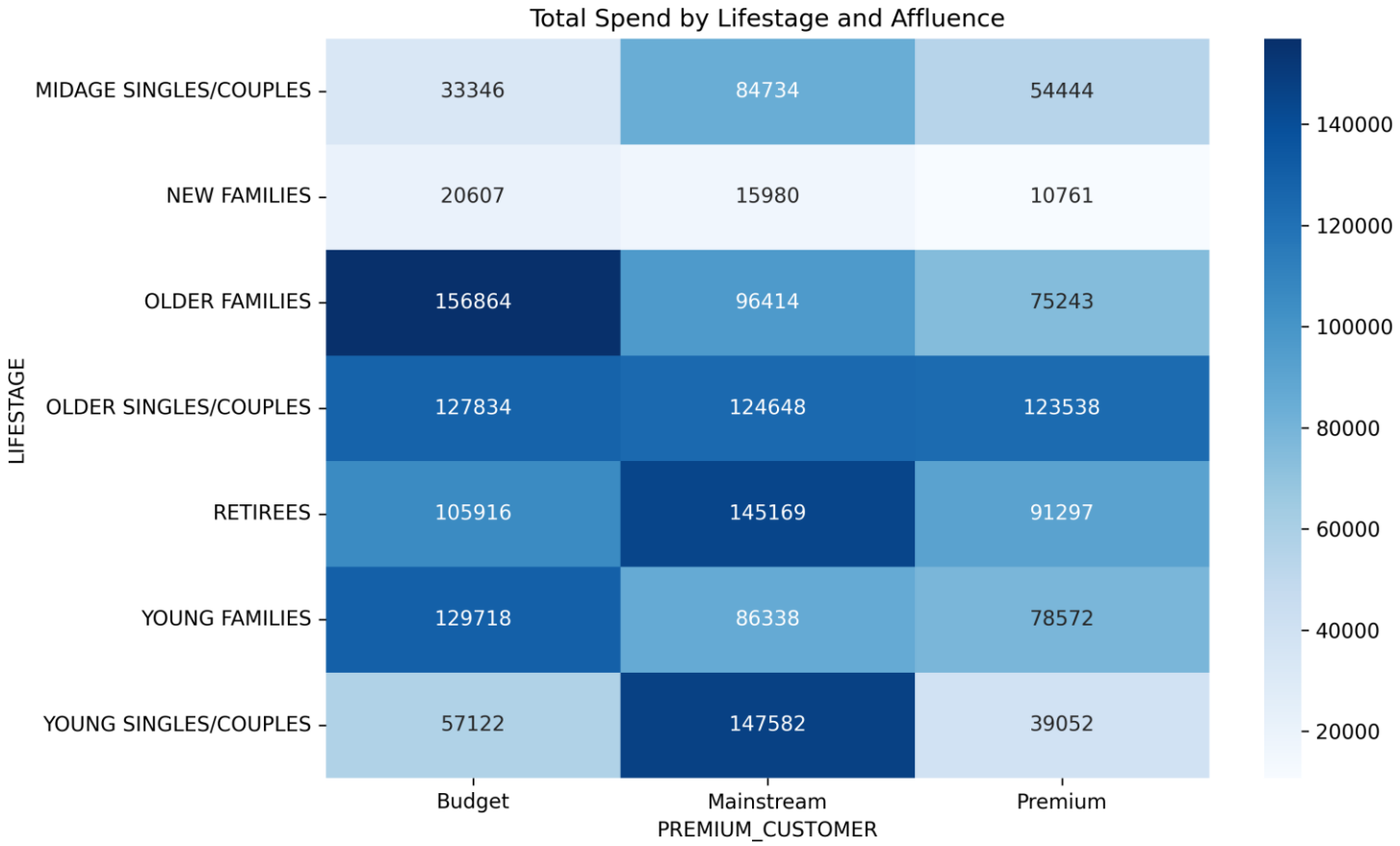
# Customer Mix by Lifestage & Affluence

Older families and mainstream retirees represent a substantial proportion of total customers and category sales.
Younger mainstream customers demonstrate high transaction frequency but lower average spend.

**Recommendation:**
Segment-specific promotions should focus on:

- premium offerings for affluent shoppers
- value bundles for family households
- convenience/snacking positioning for younger consumers



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# 02

## Trial store performance

Trial stores 77 and 88 demonstrated a significant sales uplift during the trial period compared to both control stores and the broader store network, indicating a successful trial outcome.

77 → Successful
86 → Mixed Results
88 → Successful



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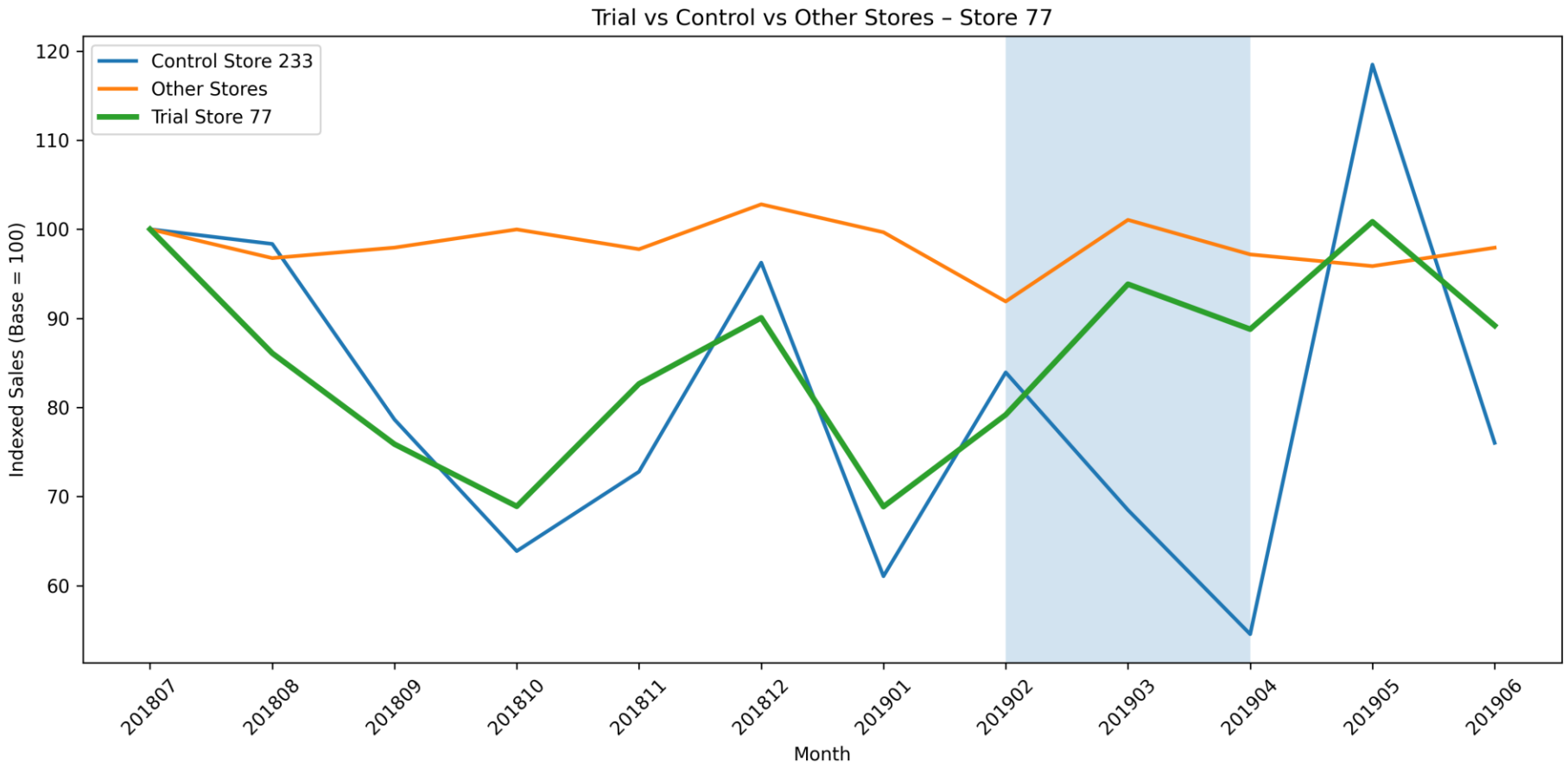
# Control Store 233 – Trial Store 77




Store 77 experienced a clear uplift in sales during the trial period, outperforming both the control store and the average store trend.



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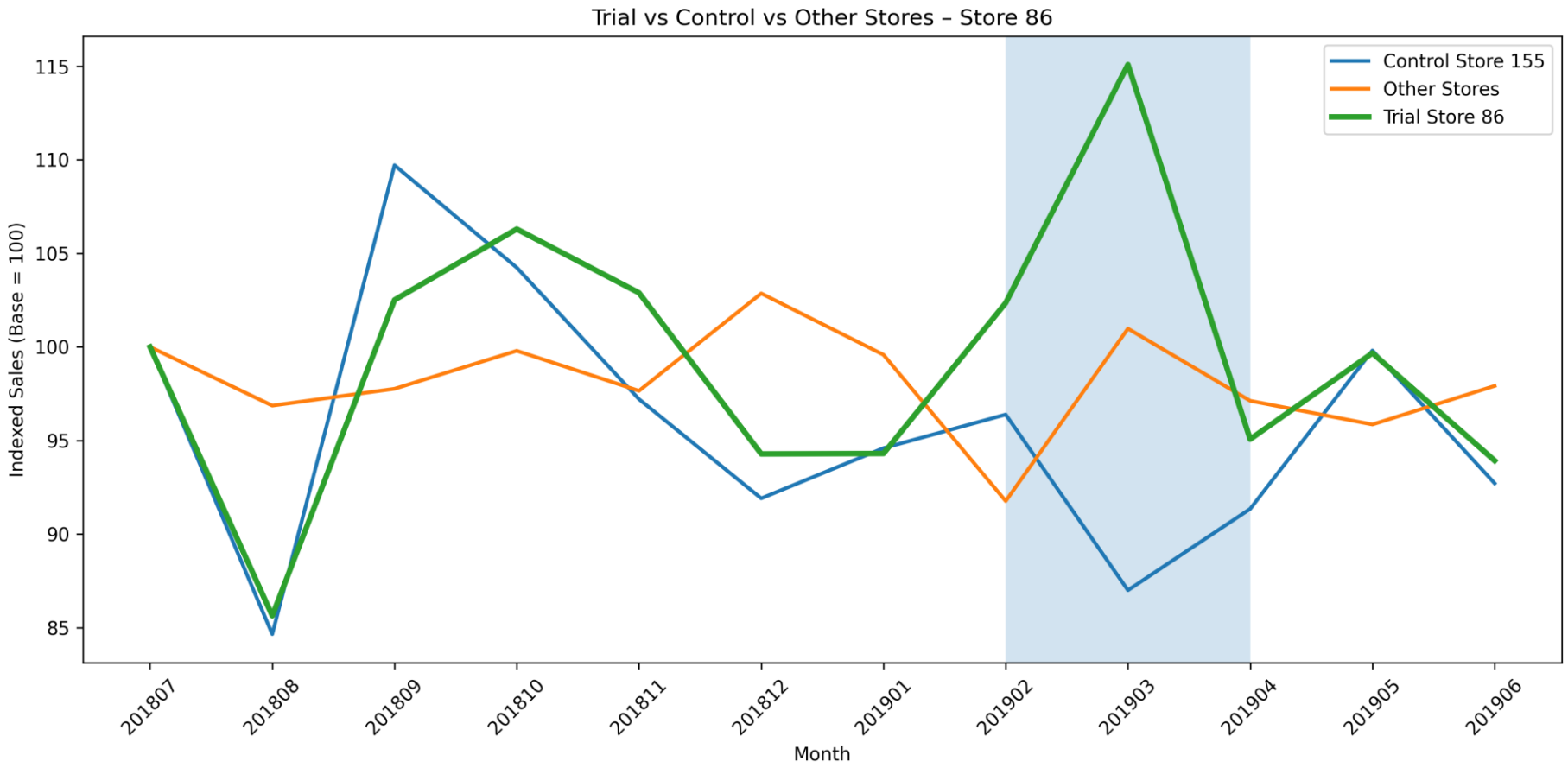
# Control Store 155 – Trial Store 86




Store 86 showed increased customer activity but limited incremental sales growth, suggesting weaker conversion or promotional effects.



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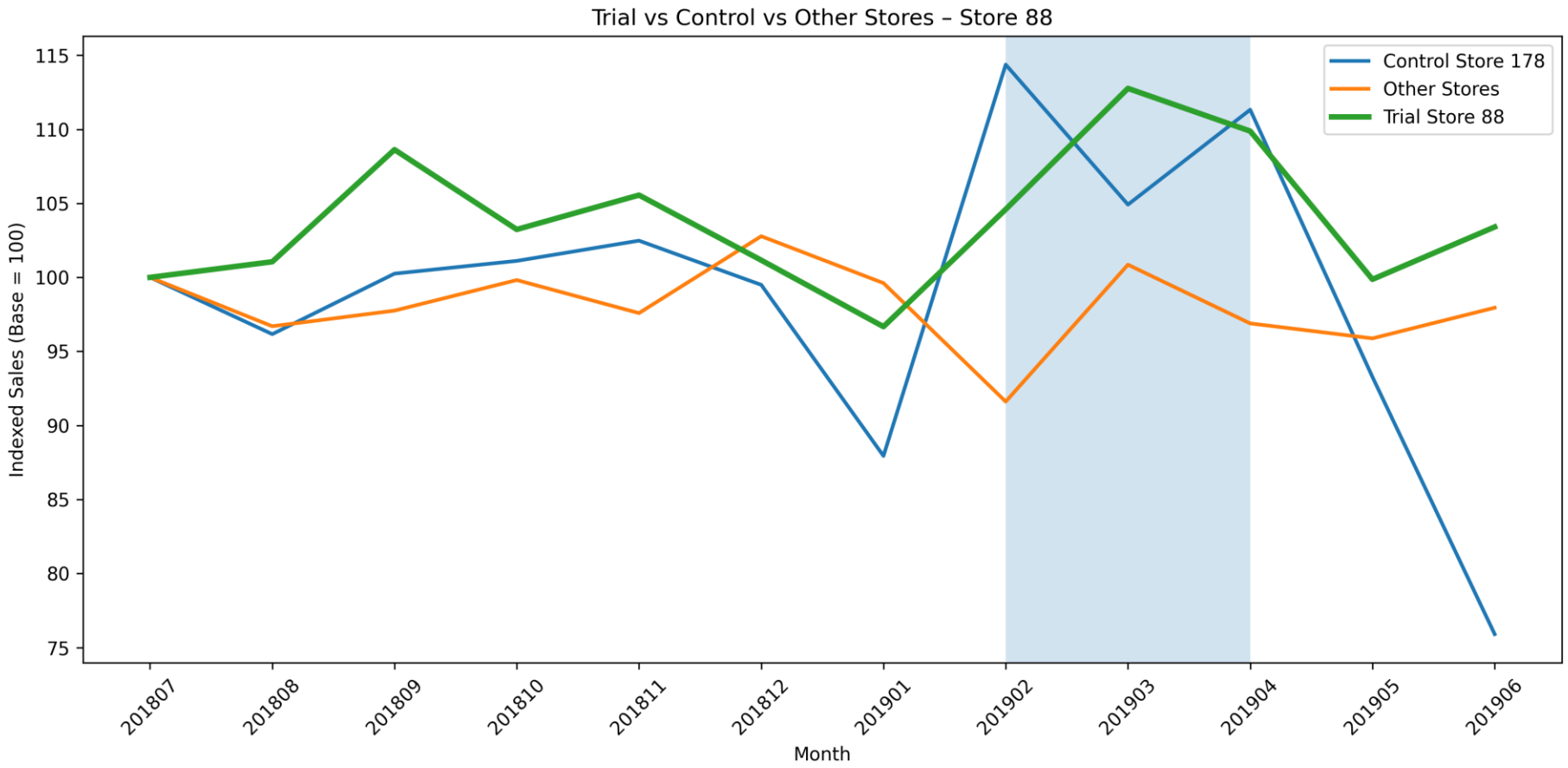
# Control Store 178 – Trial Store 88




Store 88 demonstrated sustained performance uplift throughout the trial period, indicating strong customer response to the new layout.



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The trial layout generated positive sales uplift in two out of three trial stores, indicating strong potential for broader implementation.



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